

Blockchain Exp - 3

Aim: Create a Cryptocurrency using Python and perform mining in the Blockchain created.

Theory:

1. Blockchain Overview

Blockchain is a **distributed and decentralized ledger** that stores information in a series of linked blocks.

Each block contains:

- Transaction data
- Timestamp
- Previous block's hash
- Its own unique hash (digital fingerprint)

Once data is recorded in a blockchain, it becomes **immutable** because altering one block would require recalculating all subsequent blocks.

2. Mining

Mining is the process of:

1. Collecting pending transactions into a block.
2. Performing a computational puzzle (Proof-of-Work) to find a valid hash.
3. Adding the new block to the blockchain.
Broadcasting it to all connected peers.

Miners are rewarded with cryptocurrency for successfully mining a block.

3. Multi-Node Blockchain Network

In this lab, we simulate **three independent blockchain nodes** (5001, 5002, 5003).

Each node:

- Runs on a separate port.
- Maintains its own copy of the blockchain.
- Can connect with peers to share and validate blocks.

4. Consensus Mechanism

We use the **Longest Chain Rule**:

- If multiple versions of the chain exist, the **longest valid chain** is chosen.
- This ensures all nodes agree on a single transaction history.

5. Transactions & Mining Reward

Each transaction has:

- Sender
- Receiver
- Amount

When mining a block:

- Pending transactions are added to the block.
- A **reward transaction** is added automatically to pay the miner.

6. Chain Replacement

When /replace_chain is called:

1. Node requests chains from peers.
2. If it finds a longer and valid chain, it replaces its own.
3. This keeps the blockchain consistent across all nodes.

Tools & Libraries Used

- **Python 3.x**
- **Flask** – Web framework for API endpoints
pip install Flask
- **Requests** – For HTTP communication between nodes
pip install requests==2.18.4
- **Postman** – For testing API requests
- Python Standard Libraries:
 - datetime
 - jsonify
 - hashlib
 - uuid4
 - urlparse
 - request

Code :

```

# Module 2 - Create a Cryptocurrency

# To be installed:
# Flask==0.12.2: pip install Flask==0.12.2
# Postman HTTP Client: https://www.getpostman.com/
# requests==2.18.4: pip install requests==2.18.4

# Importing the
libraries import
datetime
import hashlib
import json
from flask import Flask, jsonify, request
import requests
from uuid import uuid4
hex from urllib.parse import urlparse

# Generate a unique id that is in
# To parse url of the nodes

# Part 1 - Building a Blockchain
class Blockchain:
    def __init__(self):
        self.chain = []
        self.transactions = []
        # Adding transactions before they
        # are added to a block
        self.create_block(proof = 1, previous_hash = '0')
        self.nodes = set()
        # Set is used as there is no order to
        # be maintained as the nodes can be from all around the globe

    def create_block(self, proof, previous_hash):
        block = {'index': len(self.chain) + 1,
                  'timestamp': str(datetime.datetime.now()),
                  'proof': proof,
                  'previous_hash': previous_hash,
                  'transactions': self.transactions}
        # Adding transactions to make
        # the blockchain a cryptocurrency
        self.transactions = []
        # The list of transaction should
        # become empty after they are added to a block
        self.chain.append(block)
        return block

```

```

def get_previous_block(self):
    return self.chain[-1]

def proof_of_work(self, previous_proof):
    new_proof = 1
    check_proof = False
    while check_proof is False:
        hash_operation = hashlib.sha256(str(new_proof**2 -
previous_proof**2).encode()).hexdigest()
        if hash_operation[:4] == '0000':
            check_proof = True
        else:
            new_proof += 1
    return new_proof

def hash(self, block):
    encoded_block = json.dumps(block, sort_keys = True).encode()
    return hashlib.sha256(encoded_block).hexdigest()

def is_chain_valid(self, chain):
    previous_block = chain[0]
    block_index = 1
    while block_index < len(chain):
        block = chain[block_index]
        if block['previous_hash'] != self.hash(previous_block):
            return False
        previous_proof = previous_block['proof']
        proof = block['proof']
        hash_operation = hashlib.sha256(str(proof**2 -
previous_proof**2).encode()).hexdigest()
        if hash_operation[:4] != '0000':
            return False
        previous_block = block
        block_index += 1
    return True

• This method will add the transaction to the list of
transactions
def add_transaction(self, sender, receiver, amount):
    self.transactions.append({'sender': sender,
                              'receiver': receiver,
                              'amount': amount})
    previous_block = self.get_previous_block()

```

```

    return previous_block['index'] + 1                # It will return the block index
to which the transaction should be added

```

- This function will add the node containing an address to the set of nodes created in init function

```

def add_node(self, address):
    parsed_url = urlparse(address)                    # urlparse will parse the url from
the address                                          the address
    self.nodes.add(parsed_url.netloc)                 # Add is used and not append as
it's a set. Netloc will only return '127.0.0.1:5000'

```

- Consensus Protocol. This function will replace all the shorter chain with the longer chain in all the nodes on the network

```

def replace_chain(self):
    network = self.nodes                             # network variable is the set of nodes
all around the globe
    longest_chain = None                             # It will hold the longest chain when
we scan the network
    max_length = len(self.chain)                      # This will hold the length of the
chain held by the node that runs this function
    for node in network:
        response = requests.get(f'http://{node}/get_chain')    # Use get chain
method already created to get the length of the chain
        if response.status_code == 200:
            length = response.json()['length']                # Extract the length of the chain
from get_chain function
            chain = response.json()['chain']
            if length > max_length and self.is_chain_valid(chain):    # We check if the length
is bigger and if the chain is valid then
                max_length = length                                # We update the max length
                longest_chain = chain                                # We update the longest chain
            if longest_chain:                                       # If longest_chain is not none that means
it was replaced
                self.chain = longest_chain                        # Replace the chain of the current
node with the longest chain
            return True
        return False                                              # Return false if current chain is the longest
one

```

Part 2 - Mining our Blockchain

Creating a Web App

```
app = Flask(__name_)

# Creating an address for the node on Port 5000. We will create some other nodes as well
on different ports
node_address = str(uuid4()).replace('-', '') #

# Creating a Blockchain
blockchain = Blockchain()

# Mining a new block
@app.route('/mine_block', methods = ['GET'])
def mine_block():
    previous_block = blockchain.get_previous_block()
    previous_proof = previous_block['proof']
    proof = blockchain.proof_of_work(previous_proof)
    previous_hash = blockchain.hash(previous_block)
    blockchain.add_transaction(sender = node_address, receiver = 'Richard', amount = 1) #
    Hadcoins to mine the block (A Reward). So the node gives 1 hadcoin to Abcde for mining the
    block
    block = blockchain.create_block(proof, previous_hash)
    response = {'message': 'Congratulations, you just mined a block!',
                'index': block['index'],
                'timestamp': block['timestamp'],
                'proof': block['proof'],
                'previous_hash': block['previous_hash'],
                'transactions': block['transactions']}
    return jsonify(response), 200

# Getting the full Blockchain
@app.route('/get_chain', methods = ['GET'])
def get_chain():
    response = {'chain': blockchain.chain,
                'length': len(blockchain.chain)}
    return jsonify(response), 200

# Checking if the Blockchain is valid
@app.route('/is_valid', methods = ['GET'])
def is_valid():
    is_valid = blockchain.is_chain_valid(blockchain.chain)
    if is_valid:
        response = {'message': 'All good. The Blockchain is valid.'}
    else:
```

```
response = {'message': 'Houston, we have a problem. The Blockchain is not valid.'}
return jsonify(response), 200
```

```
# Adding a new transaction to the Blockchain
```

```
@app.route('/add_transaction', methods = ['POST']) # Post method as we
```

```
have to pass something to get something in return
```

```
def add_transaction():
```

```
    json = request.get_json() # This will get the json file from
```

```
postman. In Postman we will create a json file in which we will pass the values for the keys in
the json file
```

```
    transaction_keys = ['sender', 'receiver', 'amount']
```

```
    if not all(key in json for key in transaction_keys): # Checking if all keys
are available in json
```

```
        return 'Some elements of the transaction are missing', 400
```

```
    index = blockchain.add_transaction(json['sender'], json['receiver'], json['amount'])
```

```
    response = {'message': f'This transaction will be added to Block {index}'}
```

```
    return jsonify(response), 201 # Code 201 for creation
```

```
# Part 3 - Decentralizing our Blockchain
```

```
# Connecting new nodes
```

```
@app.route('/connect_node', methods = ['POST']) # POST request to
```

```
register the new nodes from the json file
```

```
def connect_node():
```

```
    json = request.get_json()
```

```
    nodes = json.get('nodes') # Get the nodes from json
```

```
    file if nodes is None:
```

```
        return "No node", 400
```

```
    for node in nodes:
```

```
        blockchain.add_node(node)
```

```
    response = {'message': 'All the nodes are now connected. The Hadcoin Blockchain now
contains the following nodes:',
```

```
        'total_nodes': list(blockchain.nodes)}
```

```
    return jsonify(response), 201
```

```
# Replacing the chain by the longest chain if needed
```

```
@app.route('/replace_chain', methods = ['GET'])
```

```
def replace_chain():
```

```
    is_chain_replaced = blockchain.replace_chain()
```

```
    if is_chain_replaced:
```

```
        response = {'message': 'The nodes had different chains so the chain was replaced by the
longest one.',
```

```
        'new_chain': blockchain.chain}
    else:
        response = {'message': 'All good. The chain is the largest one.',
                    'actual_chain': blockchain.chain}
    return jsonify(response), 200

# Running the app
app.run(host = '0.0.0.0', port = 500*)
```


Output :**1. Connecting nodes: Node 1 -> 2,3**

The screenshot shows the Postman interface for a POST request to `http://127.0.0.1:5001/connect_node`. The request body is a JSON object:

```
1 {
2   "nodes": [
3     "http://127.0.0.1:5002",
4     "http://127.0.0.1:5003"
5   ]
6 }
```

The response is a 201 CREATED status with a JSON body:

```
1 {
2   "message": "All the nodes are now connected. The Hadcoin Blockchain now contains the following",
3   "nodes": "",
4   "total_nodes": [
5     "127.0.0.1:5003",
6     "127.0.0.1:5002"
7   ]
8 }
```

Node 2 -> 1,3

The screenshot shows the Postman interface for a POST request to `http://127.0.0.1:5002/connect_node`. The request body is a JSON object:

```
1 {
2   "nodes": [
3     "http://127.0.0.1:5001",
4     "http://127.0.0.1:5003"
5   ]
6 }
```

The response is a 201 CREATED status with a JSON body:

```
1 {
2   "message": "All the nodes are now connected. The Hadcoin Blockchain now contains the following",
3   "nodes": "",
4   "total_nodes": [
5     "127.0.0.1:5003",
6     "127.0.0.1:5001"
7   ]
8 }
```

Node 3 -> 1,2

REST client interface showing a POST request to `http://127.0.0.1:5003/connect_node`. The request body is a JSON object:

```
1 {
2   "nodes": [
3     "http://127.0.0.1:5001",
4     "http://127.0.0.1:5002"
5   ]
6 }
```

The response is a 201 CREATED status with a JSON body:

```
1 {
2   "message": "All the nodes are now connected. The Hadcoin Blockchain now contains the following",
3   "nodes": [
4     "127.0.0.1:5001",
5     "127.0.0.1:5002"
6   ]
7 }
```

2. Adding transaction from node 1

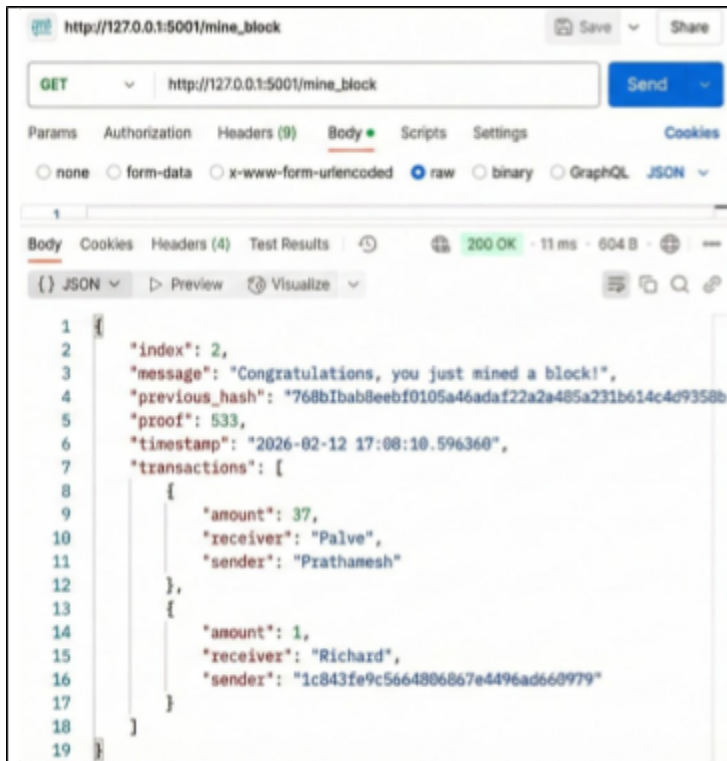
REST client interface showing a POST request to `http://127.0.0.1:5001/add_transaction`. The request body is a JSON object:

```
1 {
2   "sender": "Prathanesh",
3   "receiver": "Palve",
4   "amount": 37
5 }
```

The response is a 201 CREATED status with a JSON body:

```
1 {
2   "message": "This transaction will be added to Block 2"
3 }
```

3. Mining a Block (Only on 5001)

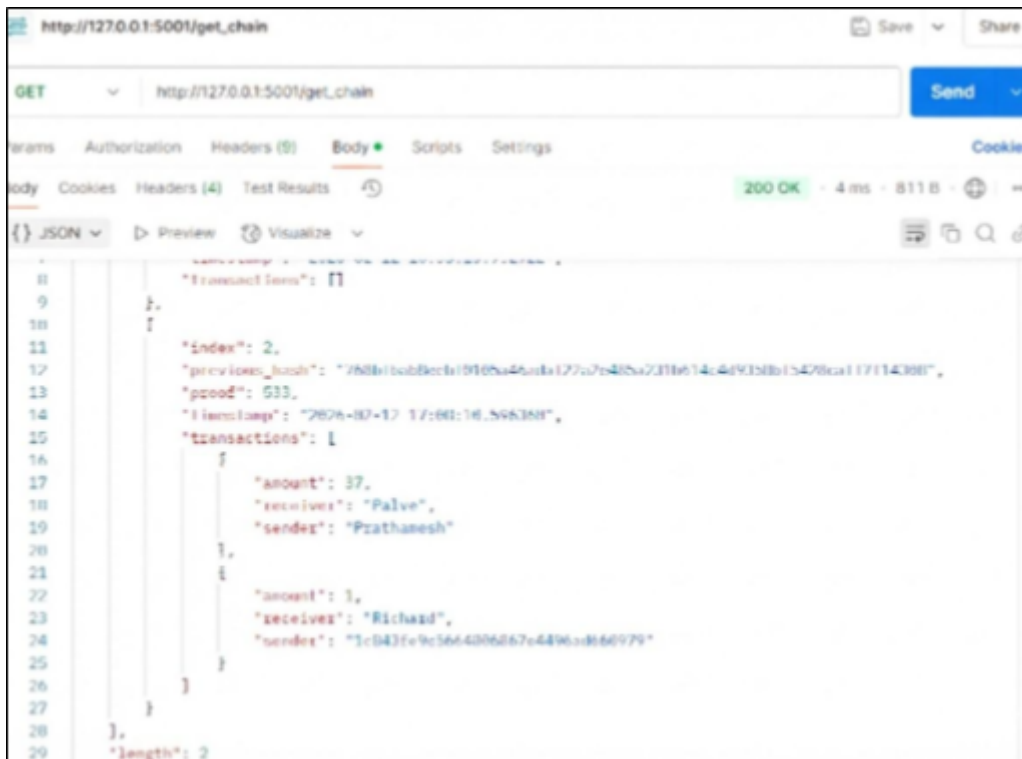


The screenshot shows a REST client interface with the following details:

- URL: `http://127.0.0.1:5001/mine_block`
- Method: `GET`
- Response Status: `200 OK`
- Response Headers: `Content-Type: application/json`
- Response Body (JSON):

```
{  "index": 2,  "message": "Congratulations, you just mined a block!",  "previous_hash": "768b1bab8eebf0105a46adaf22a2a485a231b614c4d9358b",  "proof": 533,  "timestamp": "2026-02-12 17:08:10.596360",  "transactions": [    {      "amount": 37,      "receiver": "Palve",      "sender": "Prathamesh"    },    {      "amount": 1,      "receiver": "Richard",      "sender": "1c843fe9c5664806867e4496ad660979"    }  ]}
```

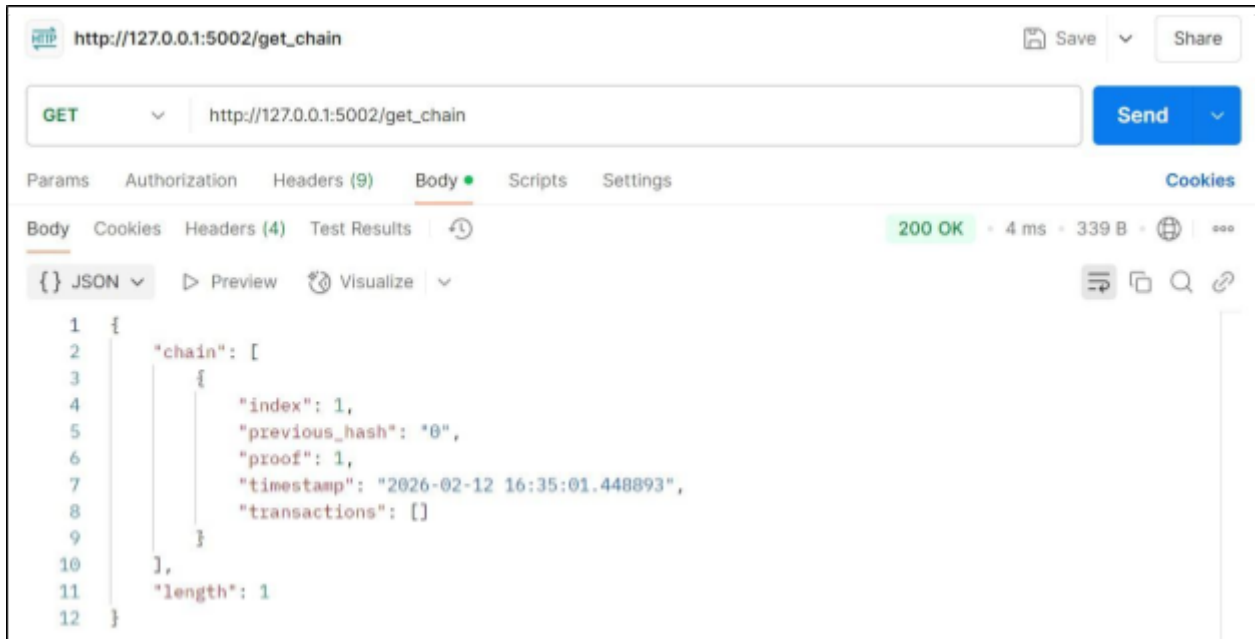
4. Checking chain length difference: Node 1



The screenshot shows a REST client interface with the following details:

- URL: `http://127.0.0.1:5001/get_chain`
- Method: `GET`
- Response Status: `200 OK`
- Response Headers: `Content-Type: application/json`
- Response Body (JSON):

```
{  "chain": [    {      "index": 2,      "message": "Congratulations, you just mined a block!",      "previous_hash": "768b1bab8eebf0105a46adaf22a2a485a231b614c4d9358b",      "proof": 533,      "timestamp": "2026-02-12 17:08:10.596360",      "transactions": [        {          "amount": 37,          "receiver": "Palve",          "sender": "Prathamesh"        },        {          "amount": 1,          "receiver": "Richard",          "sender": "1c843fe9c5664806867e4496ad660979"        }      ]    }  ],  "length": 2}
```

Node 2

http://127.0.0.1:5002/get_chain

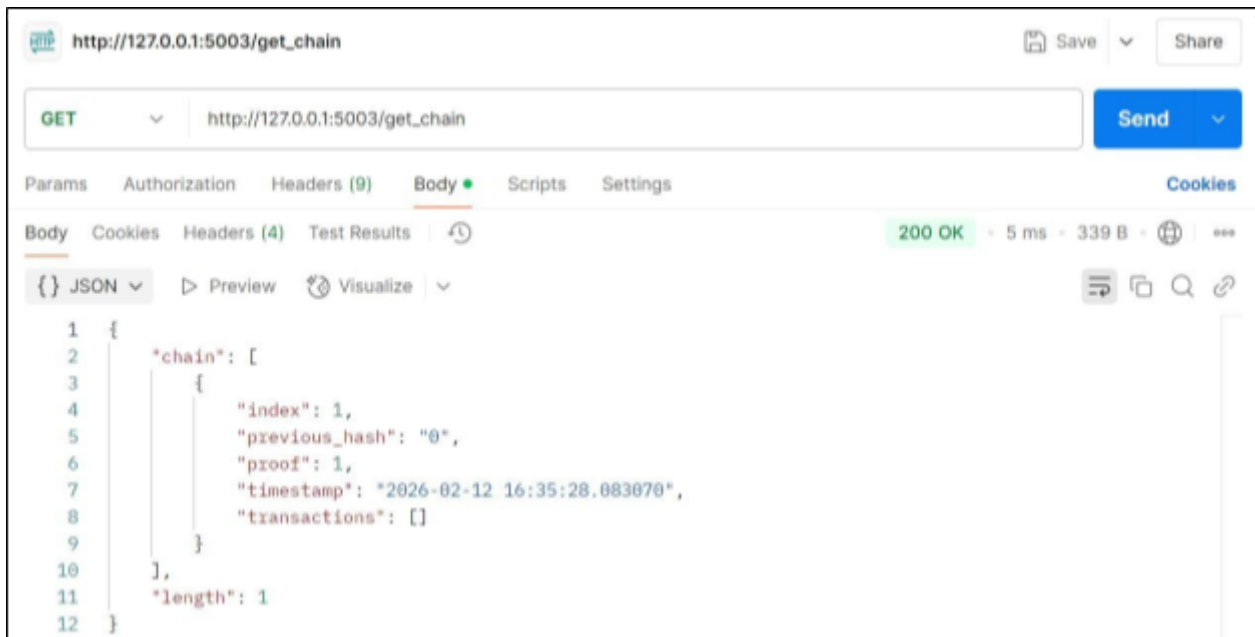
GET http://127.0.0.1:5002/get_chain Send

Params Authorization Headers (9) **Body** Scripts Settings Cookies

Body Cookies Headers (4) Test Results 200 OK · 4 ms · 339 B

{ } JSON Preview Visualize

```
1 {
2   "chain": [
3     {
4       "index": 1,
5       "previous_hash": "0",
6       "proof": 1,
7       "timestamp": "2026-02-12 16:35:01.448893",
8       "transactions": []
9     }
10  ],
11  "length": 1
12 }
```

Node 3

http://127.0.0.1:5003/get_chain

GET http://127.0.0.1:5003/get_chain Send

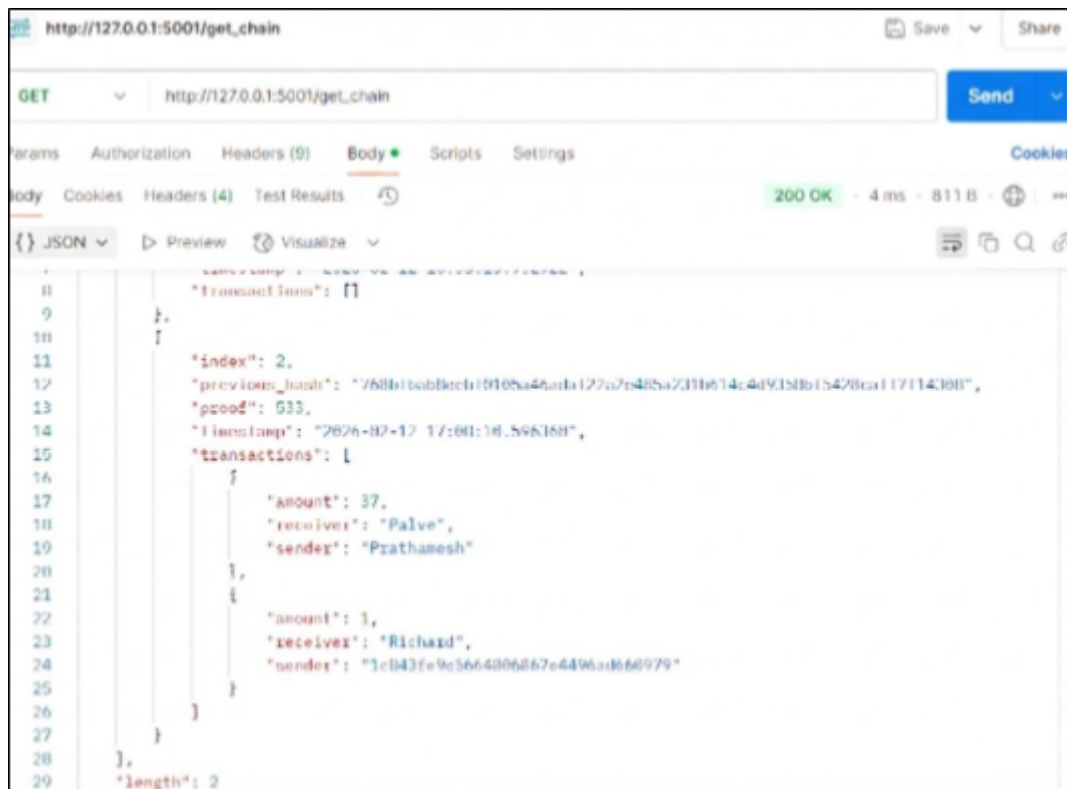
Params Authorization Headers (9) **Body** Scripts Settings Cookies

Body Cookies Headers (4) Test Results 200 OK · 5 ms · 339 B

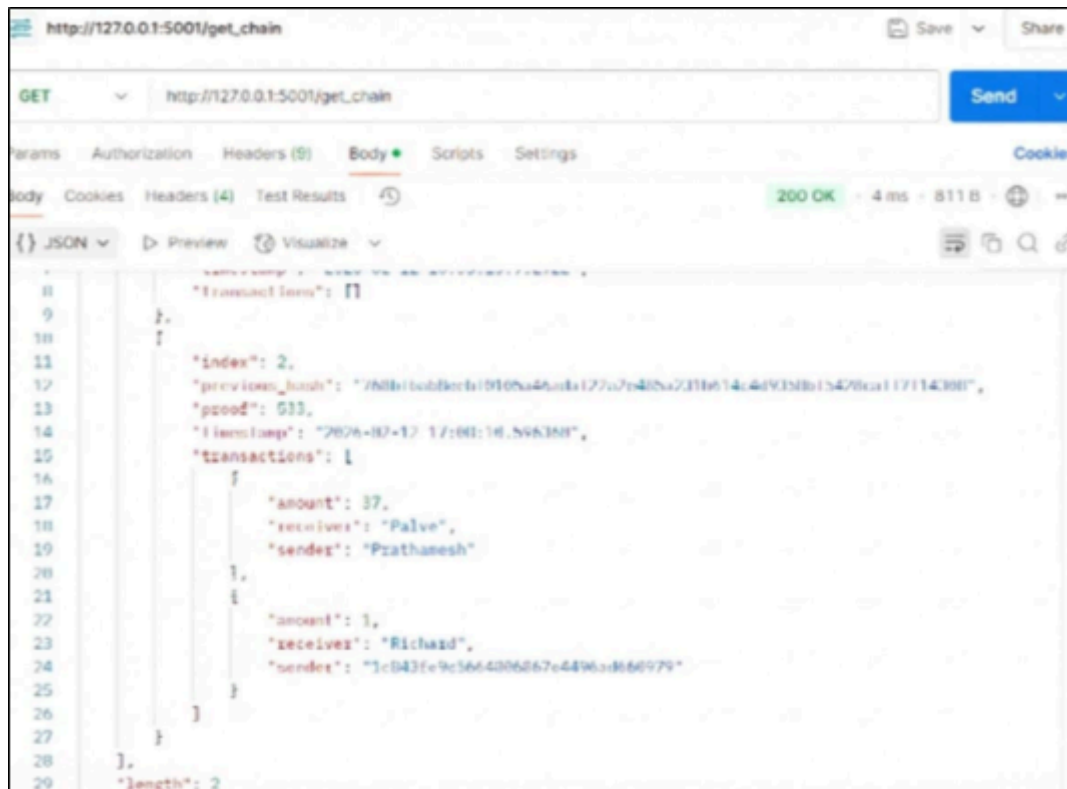
{ } JSON Preview Visualize

```
1 {
2   "chain": [
3     {
4       "index": 1,
5       "previous_hash": "0",
6       "proof": 1,
7       "timestamp": "2026-02-12 16:35:28.083070",
8       "transactions": []
9     }
10  ],
11  "length": 1
12 }
```

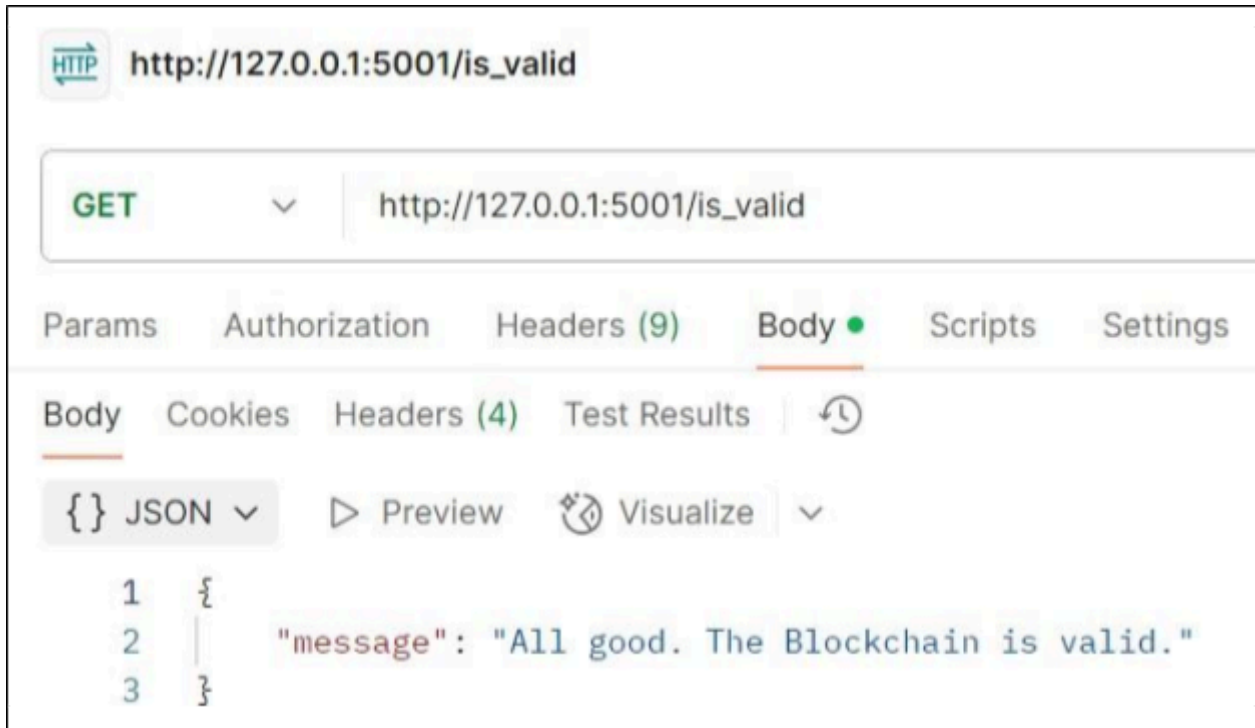
5. Replace Chain (Consensus Mechanism) : Node 2



Node 3



6. Final Validation



HTTP http://127.0.0.1:5001/is_valid

GET http://127.0.0.1:5001/is_valid

Params Authorization Headers (9) **Body** Scripts Settings

Body Cookies Headers (4) Test Results ↻

{ } JSON Preview Visualize

```

1  {
2  |   "message": "All good. The Blockchain is valid."
3  }
```

7. Terminal Activity



```

(venv) PS C:\Users\prajj\Downloads\Lab_3_Create a Cryptocurrency-20260211T182232Z-1-001\Lab_3_Create a Cryptocurrency> p
ython hadcoin_node_5001.py
>>
File "C:\Users\prajj\Downloads\Lab_3_Create a Cryptocurrency-20260211T182232Z-1-001\Lab_3_Create a Cryptocurrency\hadc
oin_node_5001.py", line 164, in connect_node
    nodes = json.get('nodes')
AttributeError: 'NoneType' object has no attribute 'get'
# Get the nodes from json file
127.0.0.1 - - [12/Feb/2026 16:50:52] "POST /connect_node HTTP/1.1" 500 -
127.0.0.1 - - [12/Feb/2026 16:54:03] "POST /connect_node HTTP/1.1" 201 -
127.0.0.1 - - [12/Feb/2026 17:06:56] "POST /add_transaction HTTP/1.1" 201 -
127.0.0.1 - - [12/Feb/2026 17:07:55] "POST /mine_block HTTP/1.1" 405 -
127.0.0.1 - - [12/Feb/2026 17:08:10] "GET /mine_block HTTP/1.1" 200 -
127.0.0.1 - - [12/Feb/2026 17:11:22] "GET /get_chain HTTP/1.1" 200 -
127.0.0.1 - - [12/Feb/2026 17:15:11] "GET /get_chain HTTP/1.1" 200 -
127.0.0.1 - - [12/Feb/2026 17:16:11] "GET /get_chain HTTP/1.1" 200 -
127.0.0.1 - - [12/Feb/2026 17:17:08] "GET /is_valid HTTP/1.1" 200 -

```

Conclusion: In this experiment, we successfully created a basic cryptocurrency using Python and Flask and implemented mining in a multi-node blockchain network. We demonstrated how transactions are added, stored temporarily, and included in a block during the mining process using a Proof-of-Work mechanism. By running three separate nodes, we simulated a peer-to-peer network and applied the Longest Chain Rule to maintain consensus across all nodes. The experiment helped us understand blockchain structure, decentralized networking, mining rewards, and chain synchronization in a practical manner.